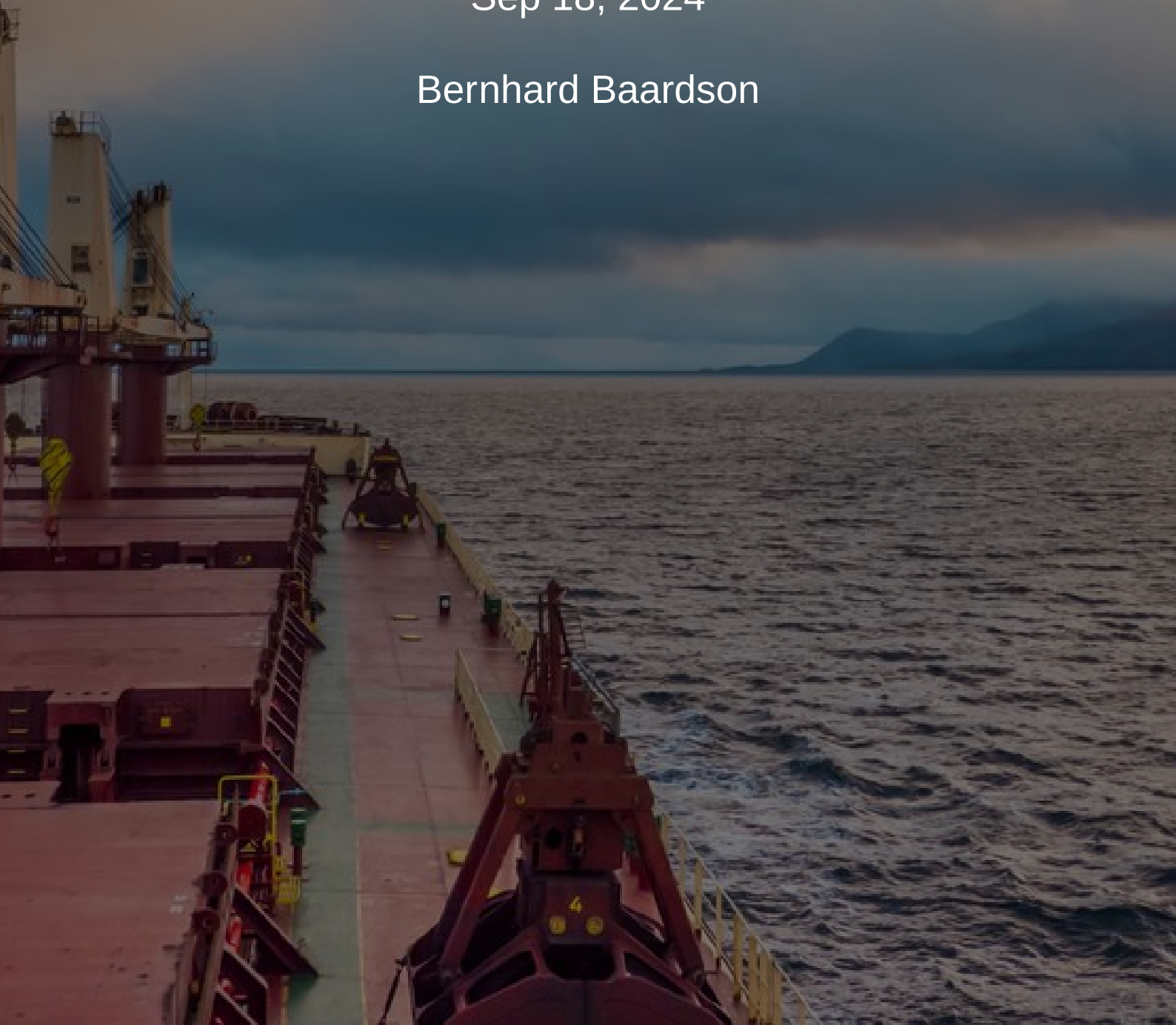


Fearnleys Dry Bulk Weekly

Sep 18, 2024

Bernhard Baardson

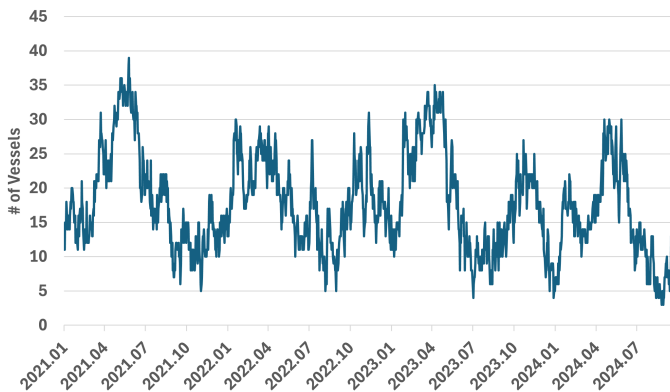


Capesize/Newcastlemax

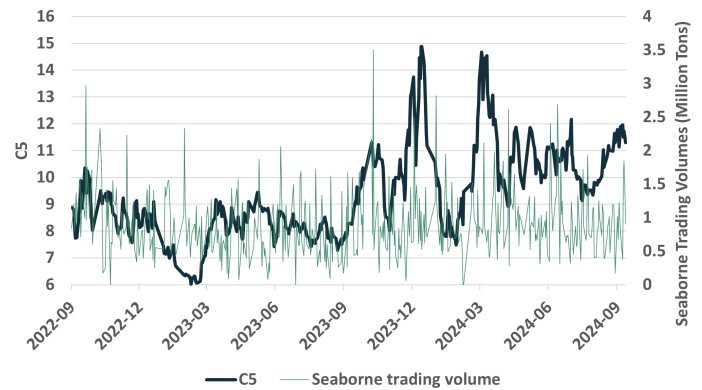
Like the last two weeks, we still see bullish and bearish factors, making it hard to have a clear opinion on the near-term market direction.

However, it looks like the bearish factors are about to outweigh the bullish factors. Seasonality suggests the market will drop in October, and reports from Platts says iron ore trading is quiet. That seems to be supported by data from MySteel, which shows that "Seaborne iron ore trading volume" spiked to 1.8 million tons last week, which has happened 20 times in the last two years. The stats show that the market was lower 80% of the time three weeks after such a spike.

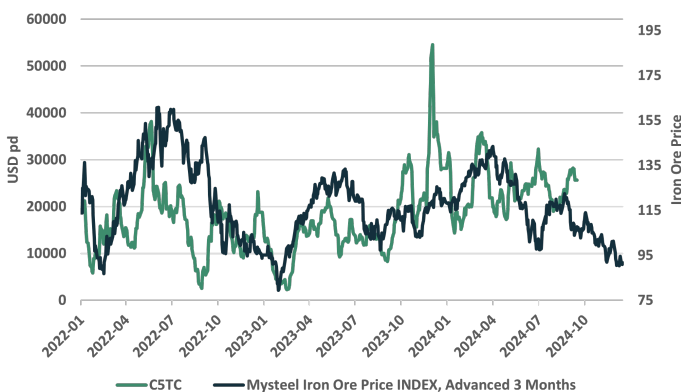
VLOC Brazil Congestion



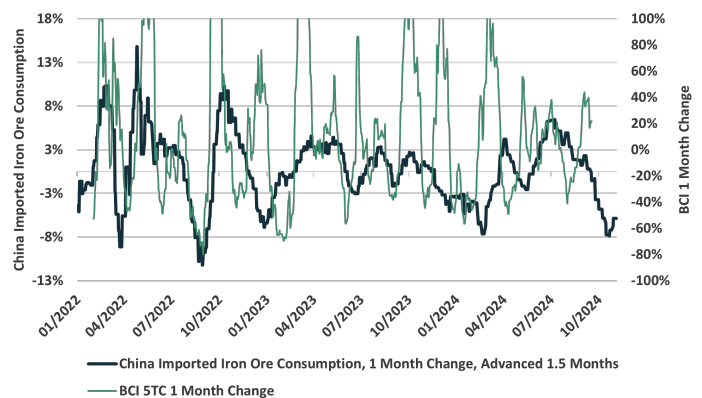
Iron Ore Seaborne Trading Volume vs C5



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



Panamax/Kamsarmax

Last week, we wrote the following:

This segment is getting help from both the smaller and bigger sizes now.

The Kamsarmax index is significantly lower than both the Supramax and Capesize index.

The US grain shipment season is underway, with many more vessels to be absorbed there before the seasonal peak.

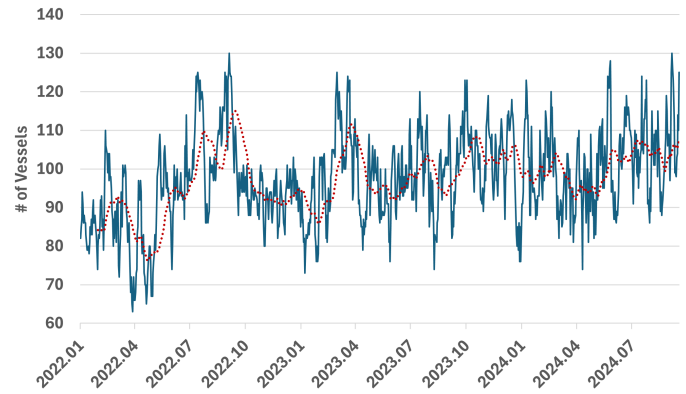
Coal market reports are all painting a bearish picture, however. Demand should nonetheless see a seasonal uptick in Q4.

The market has risen, and if there is a "recoupling" with average seasonality, the uptrend will continue for 1 month before dropping off. Usually, the Kamsarmax index shoots above the Supramax index after having been below it, as has been the case the last weeks.

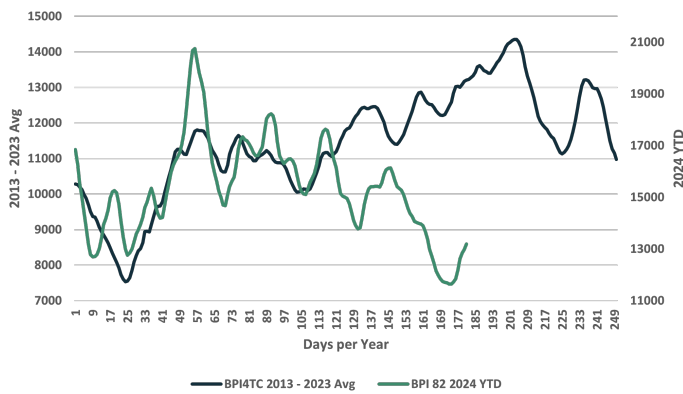
Panamax / Kamsarmax Heading to the US



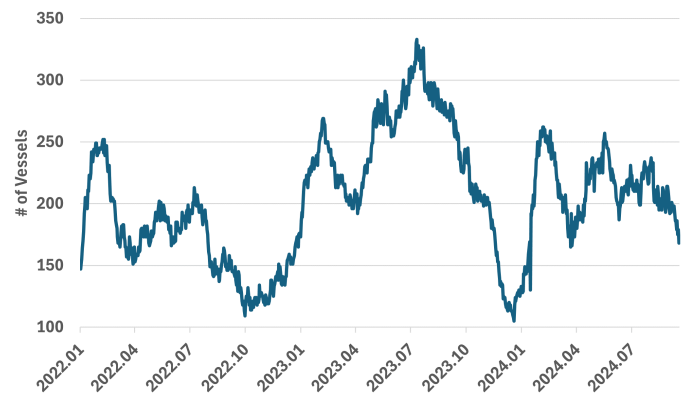
Panamax / Kamsarmax Heading to Indonesia



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax / Kamsarmax Heading to Brazil



Supramax/Ultramax

The market remains within a tight range, with no near-term factors swinging things significantly in either direction in the last months.

Macro indicators suggest Q4 will average higher than last year, which means the markets could rise from current levels. However, we do not see the potential for a significant rally, as this is not suggested by industrial metals prices.

Supramax Seasonal Market Movement

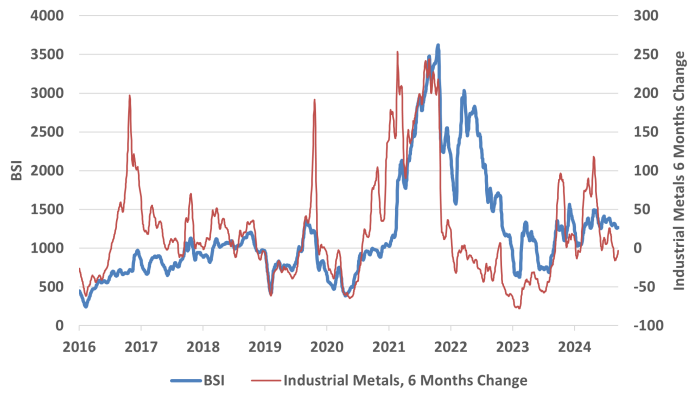


Supra / Ultra Year on Year Shipment Volume Growth

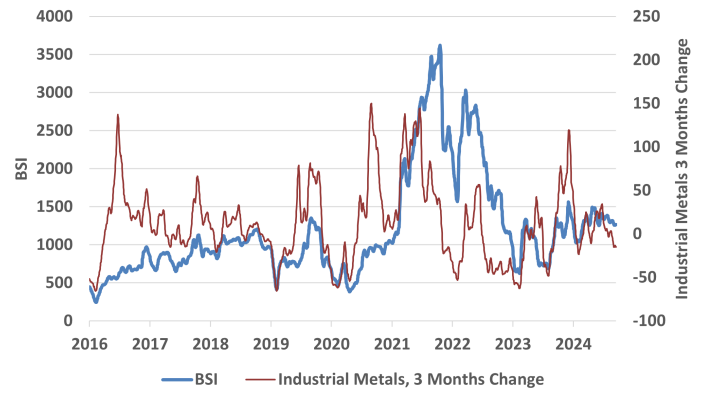




Industrial Metals Prices, 6 Months Change vs BSI



Industrial Metals Prices, 3 Months Change vs BSI





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company